Q20

(i)

The movement of the share price will depend largely on how the stock market interprets the facts. It may have been known that the company had large cash reserves, perhaps because they appeared in the latest financial statements. [1]

In that case, the stock market would have expected the cash to be put to some use, ideally by investing in positive NPV projects. [1]

If the market is disappointed by the announcement, then the cash distribution will depress the market price. [1]

On the other hand, if the market had not expected management to be able to put these funds to good use then the share price might rise. [1]

If the market had been concerned that the directors were in danger of making a reckless investment just to put the cash to work quickly then the announcement will resolve that concern and the share price could increase. [1]

In the short term, the stock market might take some time to adjust to this announcement and so the share price might fluctuate. [1]

In the first instance, the share price might decrease while the market evaluates the news and then recover while the market considers the impact. [1]

[Maximum 7]

(ii)

Making an early announcement of the shop sale will avoid speculation, driven by rumours. [1]

It would be difficult to plan the sale of 20% of a quoted retailer's properties without knowledge of that plan leaking. [1]

If the plan is announced immediately then Z can clarify details of the plan, reducing the risk of damaging speculation in the press. [1]

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Ideally, the company will be able to announce its plans for the staff whose shops will be closed. That may prevent avoidable resignations by employees who do not wish to risk being made redundant. [1]
Assisting in this way preserve the company's reputation, by demonstrating some interest in the needs of employees. [1]
An early announcement will also assist shareholders to plan ahead for the buyback. [1]
There could be tax implications that could be mitigated, at least to an extent, if the shareholders are warned well in advance. [1]
The shareholders can also plan ahead as to how best to invest the cash that they will receive from the buyback. [1]

[Maximum 8]

(iii)
Using the cash to pay a large dividend would result in shareholders suffering income tax on the cash received. [1]
A repurchase will constitute a partial disposal, and any gain will be subject to capital gains tax. [1]
That is likely to be less onerous, particularly for shareholders whose tax position makes capital gains preferable. [1]
Depending on the original cost of the shares, some shareholders might even make a capital loss on this "disposal" and so there will be no tax liability. [1]
The directors might also wish to ensure that this is viewed as a highly abnormal event.
The use of an unusual form of distribution might help to signal that the company will not be making any similar disbursements in the foreseeable future. [1]

[Maximum 5]
[Total 20]

Commentary:
Part i was answered reasonably well. Candidates did write a lot and managed to pick up some marks for their discussion. Candidates were unsure whether the share price would rise or fall but did manage to make some reasonable arguments. *Part ii was also reasonable with candidates demonstrating some understanding of how a buyback would work and discussing many of the points in the examiner's solution.* *Part iii was not answered particularly well, with the average mark being lower than 2.5. However, some candidates did discuss that candidates might prefer to pay Capital Gains tax rather than Income tax, and raised some good points during that discussion.*

[Paper Total 100]

END OF EXAMINERS' REPORT

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